

Happy Forgings Limited

NSE: HAPPYFORGE | BSE: 544057 | Concall-Tracker Report | 04 July 2026

A 45-year-old Ludhiana-based maker of heavy metal parts. It takes bars of special steel, hammers them into shape ("forging") and then precision-cuts and finishes them ("machining") into safety-critical components — chiefly engine crankshafts, front axle beams, steering knuckles and gears — that it sells to truck, tractor, off-road-vehicle, industrial and, increasingly, car and export customers. It is India's second-largest maker of high-horsepower crankshafts.

1. Snapshot

₹1,546 cr FY26 Revenue Total yearly sales, up about 10% on FY25 — growth came back after two soft years.	₹302 cr FY26 Net Profit The final profit after all costs and tax, up about 13% — the best year in the company's history.
30.4% FY26 Operating Margin For every ₹100 of sales, ~₹30 is operating profit — unusually high for a parts maker, and rising.	59.1% FY26 Gross Margin What is left after only raw-material cost — near a record; shows how much value the machining adds.
~18% Return on Capital (FY26) Profit earned on the money invested in the business — healthy, though below the ~26% of a few years ago as new plants are still filling up.	Net cash Balance sheet Debt-to-equity below 0.1 and cash (~₹430 cr) roughly cancels borrowings — effectively no net debt; AA-rated.

Five-year picture (FY21→FY26): sales grew 2.6x, operating profit 3x and net profit 3.5x — roughly a fifth-a-year compounding, achieved while funding all expansion from its own cash. Figures from the company's snapshot financials and the FY26 earnings call.

2. Concall coverage

This report reads the **10 most recent earnings-call transcripts** available on disk, covering **Q3 FY24 (Feb 2024) through Q4 FY26 (May 2026)** — a continuous ~2.5-year run from the company's first call after listing. Coverage is deep and unbroken, so the promised-vs-delivered read below is reliable.

Quarter	Call date	Read?	Quarter	Call date	Read?
Q3 FY24	12 Feb 2024	Yes	Q3 FY25	10 Feb 2025	Yes
Q4 FY24	27 May 2024	Yes	Q4 FY25	19 May 2025	Yes
Q1 FY25	08 Aug 2024	Yes	Q1 FY26	11 Aug 2025	Yes
Q2 FY25	08 Nov 2024	Yes	Q2 FY26	07 Nov 2025	Yes
Q3 FY25	10 Feb 2025	—	Q3 FY26	10 Feb 2026	Yes
			Q4 FY26	22 May 2026	Yes

Same leadership team ran every call — Ashish Garg (Managing Director) and Pankaj Kumar Goyal (Chief Financial Officer) — which makes the multi-year story easy to track.

★ Latest concall highlights — Q4 & FY26 (May 2026)

- **Best quarter ever.** Q4 sales ₹424 cr, up ~20% on last year; operating profit ₹133 cr, up ~30%; net profit ₹84 cr, up ~24%. Operating margin hit 31.5% — a record. In plain terms, growth has clearly re-accelerated and profitability is at an all-time high.
- **Full year FY26:** sales ₹1,546 cr (+~10%), operating margin 30.4% (up ~1.6 percentage points), net profit ₹302 cr — the highest ever on both sales and profit.
- **New-business order book of ~₹950 cr** to be delivered over 2.5–3 years, at an average realisation of ₹340–350 per kg — well above the current company average of ~₹245 per kg. This is the single most important number on the call: it is concrete, signed evidence that the shift to higher-value work is real. Of this, ~₹250 cr is very heavy data-centre / big-engine parts (700 kg to 1.8 tonnes each).
- **Capex on track.** A new 10,000-tonne forging press was commissioned in Q4; a 4,000-tonne press for car parts starts in the first half of FY27; and the flagship ₹650 cr heavyweight-forging plant (first of its kind in Asia) remains on schedule for FY27–28. Solar captive power plant (35 MW, ~₹170 cr) will start cutting the power bill from FY28.
- **Tone: confident.** Management guides to "late-teen" volume growth in FY27 with margins broadly held. The main soft spot remains export commercial-vehicle demand (down ~25% in Q4), offset by strong domestic CV (+27%), cars (+35%) and industrial (+32%).

Business mix & capacity (quick facts)

Where sales come from (FY26): Domestic (India) ~82% / direct exports ~18% of revenue. Counting "deemed" and indirect exports (parts that leave the country inside a customer's finished product), roughly **one-quarter of sales are export-linked**, most of it to Europe (~70–75% in euros). Plain read: still mainly an India business, with about a quarter of demand tied to overseas markets — which is why the European truck/tractor slump hurt in FY24–FY25.

Segment split (FY26): Commercial vehicles ~37%, farm equipment ~32%, industrial (wind, power-gen, oil & gas, railways, data-centre gensets) ~14%, off-highway ~11%, passenger vehicles ~6%. Plain read: trucks and tractors are still two-thirds of the business, but industrial and cars are the fast-growing new legs. Crankshafts alone are ~55–60% of sales.

Capacity use: Machining runs hot at ~89% (little spare room — the company adds machining lines every 4–6 months as needed). Forging runs cooler at ~59% **by tonnage** (~74% by number of pieces), so there is real headroom to grow output before the big new presses are even needed. Machining is ~89% of what it sells (up from 73% in FY21) — the more it machines, the more it earns per kilo.

Capacity being added: Forging 125,000 tonnes (FY26) → ~147,000 now → 161,000 (FY27) → 187,000 (FY28); machining 69,000 → 82,000 (FY27) → 87,000 (FY28), plus the separate heavyweight plant from FY28.

★ 3. Earning Trigger thesis

The durable driver is a deliberate, years-long **climb up the value ladder**: away from simple, low-margin "as-forged" lumps of metal and toward fully-machined, safety-critical, hard-to-make

components — and, alongside that, **diversification** out of cyclical trucks and tractors into industrial (wind, power generation, oil & gas, and data-centre power engines), passenger cars, and exports. Each new part the company wins tends to be more complex and sells for far more per kilo, so profit grows faster than tonnage. The capstone is a **₹650 cr heavyweight-forging plant** — billed as the first of its kind in Asia and second-largest globally — aimed at giant crankshafts, axles, gears and oil-and-gas / data-centre parts that can fetch ₹500–1,000+ per kg versus today's ~₹245. The ~₹950 cr signed order book at ₹340–350 per kg is the proof this is already converting into real business.

Trigger	What management said	Evidence so far	Horizon	Strength
Mix shift to machined & higher-value parts	Keep raising machined share and value-add; realisation to climb toward ₹275–280/kg	Machining 73%→89% of sales; gross margin 50%→59%; realisation ₹165 (FY21)→₹245 (FY26)	Ongoing / delivered	Strong — visibly playing out in margins
Diversify beyond CV & farm	Industrial to 18–20%+; cars to 8–10%; together >1/4 of sales	Industrial 2%→14%; cars 0→6% and growing double-digit; exports built to ~1/4	2–3 years	Strong — new legs are real and scaling
₹650 cr heavyweight-forging plant	First-in-Asia plant for very heavy parts; ₹500–1,000/kg realisations; data-centre & energy demand	On schedule; ~₹250 cr of heavy orders already signed; production FY27–28, meaningful use FY28–29	Longer (FY28–29)	Moderate — big prize, but execution and ramp still ahead
~₹950 cr new-business order book	Deliver over 2.5–3 years at ₹340–350/kg	Signed; spans cars, industrial/data-centre, heavy engineering; realisations ~₹95/kg above current	2–3 years	Strong — concrete and margin-accretive

4. Management Consistency scorecard

Period / theme	What was promised	What actually happened	Verdict
FY24 (first calls)	15–20% revenue growth over the medium term; margins stable via price pass-through	FY24 grew ~16%; margins held/expanded. Then FY25 slowed to ~5% as trucks, tractors & European exports all fell together	Partly — near-term growth missed, but industry-driven
Machining / value-add mix	Keep raising machined share and realisation each year	Machining 79%→89%; realisation up ~₹5–12/kg every year despite falling steel prices; gross margin to a record 59%	Delivered
Diversification (industrial, cars, exports)	Industrial to ~18–20%; cars to 8–10%; grow exports	Industrial 4%→14% and rising; cars entered and scaling; export-linked ~1/4. Cushioned the CV/farm downturn exactly as claimed	Delivered (still building)
			Delivered

Capacity / capex plans	Steady press & machining additions; 14,000t, 6,300t, 10,000t, 4,000t lines; ₹650 cr heavy plant	Presses arrived largely on time (a ~1-quarter Red Sea delay in FY24); 10,000t commissioned Q4 FY26; heavy plant on schedule	
Margins	Hold operating margin in a 27–31% band	Stayed 28–30% through the downturn and reached a record 30.4% (FY26) / 31.5% (Q4)	Delivered
Balance sheet / cash	Fund growth from own cash; stay near net-cash; explore acquisitions	Near-zero net debt throughout; ~₹445 cr operating cash in FY26; AA rating. Acquisitions still only "evaluating" after ~1.5 years	Delivered (M&A still pending)

Narrative drift: Very low. The story has stayed remarkably steady for 2.5 years — same trigger (value-add + diversification), same margin band, same capex roadmap, same confident-but-measured tone. It has *evolved* sensibly (adding cars, then industrial/wind, then the heavy-forging and data-centre theme) rather than lurching from story to story. The one genuine gap is that the headline 15–20% growth did not show up in FY25 — but management was candid that this was a cyclical truck/tractor/export slump, they consistently grew faster than the underlying industry, and growth duly snapped back to ~20% by Q4 FY26. Over the full FY21–FY26 stretch they did compound revenue ~21% a year, so the medium-term promise held.

5. Bottom line — two verdicts

Durable earning trigger? → **YES**

There is a clear, concrete and still-live driver: the multi-year climb into higher-value machined and critical components, plus diversification into industrial, cars and exports, now topped by the heavyweight-forging plant. The evidence is already in the numbers — machining share 73%→89%, gross margin to a record 59%, realisation up ~50% since FY21 — and the ~₹950 cr signed order book at ₹340–350 per kg gives visible, margin-accretive fuel for the next 2–3 years. The only caveat is that the largest single prize (the heavy plant) is still 1–2 years from meaningful contribution.

Management consistent? → **YES**

Across ten straight calls the same team delivered what it said on the things it controls — margins, machining mix, realisations, capex timelines and a fortress balance sheet — and was honest about the one thing it did not control, the FY24–25 cyclical downturn in trucks, tractors and European exports, where it still outperformed the industry. The story never drifted; it compounded. Growth has since returned to ~20%. The only unfinished promise is an acquisition, repeatedly floated but not yet done — a minor blemish on an otherwise steady, credible record.

Prepared from Happy Forgings' own earnings-call transcripts (Feb 2024–May 2026) and snapshot financials. This is a reading of management's promised-vs-delivered record and business drivers, not investment advice.